

Financial Accounting & cost Accounting

- **Job order**

- Job order costing is a costing method which is used to determine the cost of manufacturing each product. This costing method is usually adopted when the manufacturer produces a variety of products which are different from one another and needs to calculate the cost for doing an individual job.

Job Order Cost Accounting

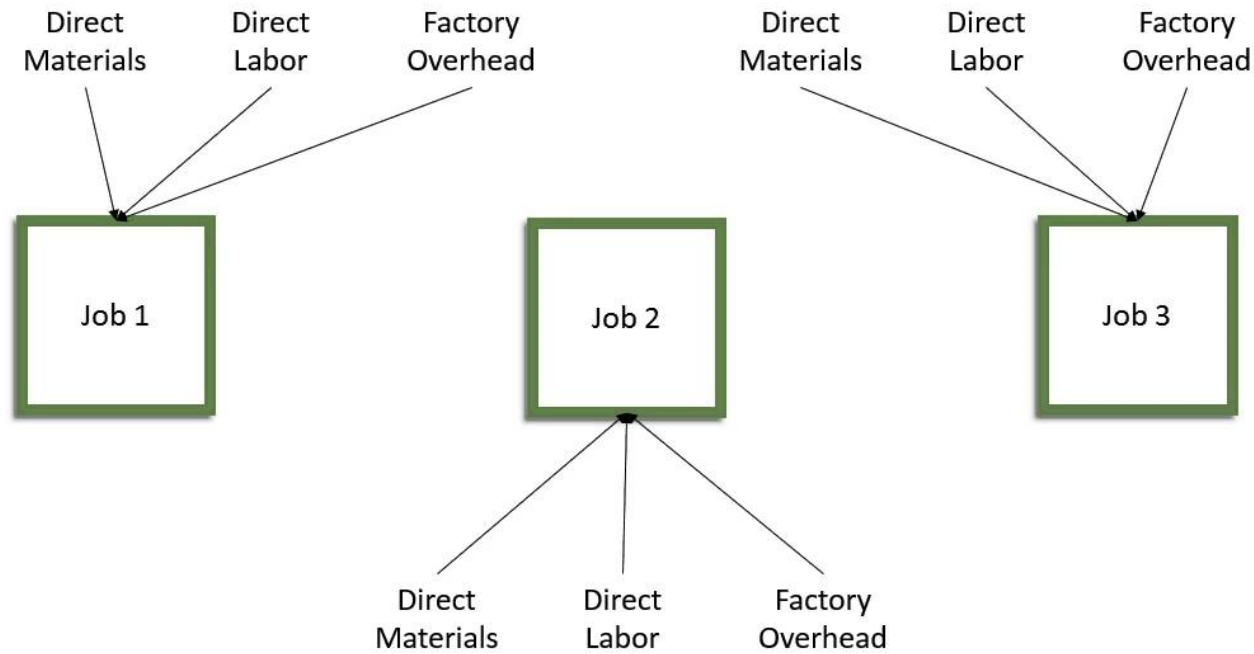


EXHIBIT 3-5

The Flow of Documents in a Job-Order Costing System

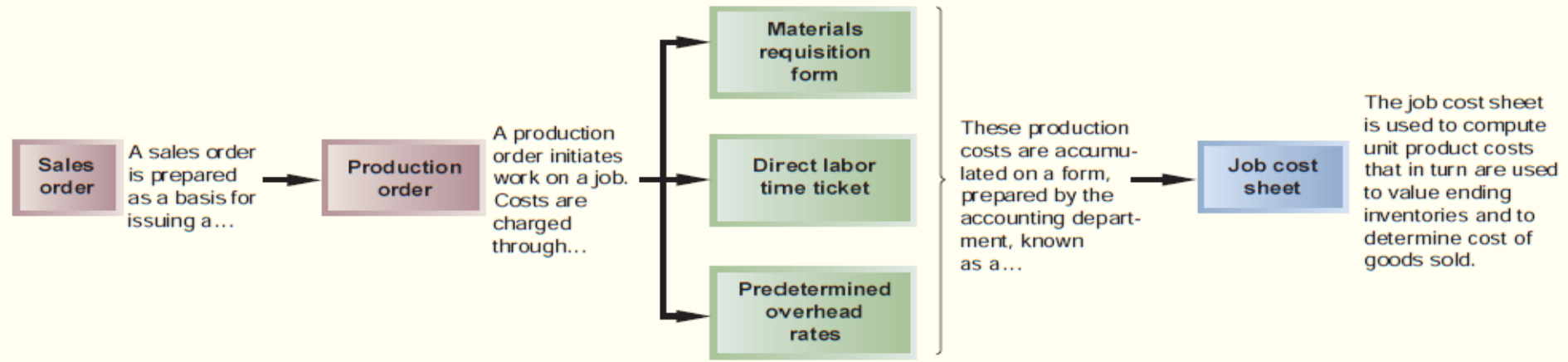


EXHIBIT 3-4

A Completed Job Cost Sheet

JOB COST SHEET

Job Number 2B47 Date Initiated March 2
 Date Completed March 8
 Department Milling
 Item Special order coupling Units Completed 2
 For Stock _____

Direct Materials		Direct Labor			Manufacturing Overhead		
Req. No.	Amount	Ticket	Hours	Amount	Hours	Rate	Amount
14873	\$ 660	843	5	\$ 45	27	\$8/DLH	<u>\$216</u>
14875	506	846	8	60			
14912	238	850	4	21			
	<u>\$1,404</u>	851	<u>10</u>	<u>54</u>			
			<u>27</u>	<u>\$180</u>			

Cost Summary		Units Shipped		
		Date	Number	Balance
Direct Materials	\$1,404	March 8	—	2
Direct Labor	\$ 180			
Manufacturing Overhead	\$ 216			
Total Product Cost	<u>\$1,800</u>			
Unit Product Cost	<u>\$ 900*</u>			

*\$1,800 ÷ 2 units = \$900 per unit.

- ***(1) The Purchase and Issue of Materials***

- On April 1, Ruger Corporation had \$7,000 in raw materials on hand. During the month, the company purchased on account an additional \$60,000 in raw materials. The purchase is recorded in journal entry (1) below:

- Raw Materials 60,000
- Accounts Payable 60,000

- **(2) Issue of Direct and Indirect Materials** During April, \$52,000 in raw materials

- were requisitioned from the storeroom for use in production. These raw materials included \$50,000 of direct and \$2,000 of indirect materials. Entry (2) records issuing the materials to the production departments.

- Work in Process 50,000
- Manufacturing Overhead 2,000
- Raw Materials 52,000

- **(3) Labor Cost**

- Employee time tickets are filled out by workers, collected, and forwarded to the Accounting Department. In the Accounting Department, wages are computed and the resulting costs are classified as either direct or indirect labor. In April, \$60,000 was recorded for direct labor and \$15,000 for indirect labor. The following entry summarizes those events:

• Work in Process	60,000
• Manufacturing Overhead	15,000
• Salaries and Wages Payable	75,000

- ***Manufacturing Overhead Costs***

- Recall that all manufacturing costs other than direct materials and direct labor are classified as manufacturing overhead costs. These costs are entered directly into the Manufacturing Overhead account as they are incurred. To illustrate, assume that Ruger Corporation
- incurred the following general factory costs during April:
- Utilities (heat, water, and power) \$21,000
- Rent on factory equipment 16,000
- Miscellaneous factory overhead costs 3,000
- Total \$40,000

- (4) The following entry records the incurrence of these costs:
 - Manufacturing Overhead 40,000
 - Accounts Payable * 40,000

- (5) In addition, assume that during April, Ruger Corporation recognized \$13,000 in accrued
 - property taxes and that \$7,000 in prepaid insurance expired on factory buildings
 - and equipment. The following entry records these items:
 - Manufacturing Overhead 20,000
 - Property Taxes Payable 13,000
 - Prepaid Insurance 7,000
- (6) Finally, assume that the company recognized \$18,000 in depreciation on factory equipment during April. The following entry records the accrual of this depreciation:
 - Manufacturing Overhead 18,000
 - Accumulated Depreciation 18,000

- ***(7) Applying Manufacturing Overhead***

- To illustrate, assume that Ruger Corporation 's predetermined overhead rate is \$6 per machine-hour. Also assume that during April, 10,000 machine-hours were worked on Job A and 5,000 machine-hours were worked on Job B (a total of 15,000 machine-hours). Thus, \$90,000 in overhead cost (\$6 per machine-hour 15,000 machine-hours \$90,000) would be applied to Work in Process. The following entry records the application of Manufacturing Overhead to Work in Process:

- Work in Process 90,000
- Manufacturing Overhead 90,000

- (8) assume that Ruger Corporation incurred \$30,000 in selling and administrative salary costs during April. The following entry summarizes the accrual of those salaries:
 - Salaries Expense 30,000
 - Salaries and Wages Payable 30,000
- (9) Assume that depreciation on office equipment during April was \$7,000. The entry is as follows:
 - Depreciation Expense 7,000
 - Accumulated Depreciation 7,000

- (10) Finally, assume that advertising was \$42,000 and that other selling and administrative expenses in April totaled \$8,000. The following entry records these items:

- Advertising Expense 42,000
- Other Selling and Administrative Expense 8,000
- Accounts Payable * 50,000

- ***(11) Cost of Goods Manufactured***

- In the case of Ruger Corporation , assume that Job A was completed during April. The following entry transfers the cost of Job A from Work in Process to Finished Goods:

- Finished Goods 158,000
- Work in Process 158,000

- ***(12) Cost of Goods Sold***

- For Ruger Corporation , we will assume 750 of the 1,000 gold medallions in Job A were shipped to customers by the end of the month for total sales revenue of \$225,000. Because 1,000 units were produced and the total cost of the job from the job cost sheet was \$158,000, the unit product cost was \$158. The following journal entries would record the sale (all sales were on account):

- Accounts Receivable 225,000
- Sales 225,000

- ***(13) Cost of Goods Sold 118,500***

- Finished Goods 118,500
- (750 units \$158 per unit \$118,500)

Job Order Cost Flow

Illustration 20-4
Job order costing system

